



Internal Controls & Audit Checklist

Comprehensive Governance, Finance, Tax, Operations, IT, Risk,
Compliance, HR, and Reporting

Governance & Organizational Structure

- ☒ Clear organizational structure documented
- ☒ Roles and responsibilities defined and approved
- ☒ Segregation of duties (no single person controls entire process)
- ☒ Approvals clearly defined (authorization matrix in place)
- ☒ Board/management meetings documented with minutes
- ☒ Company policies documented, approved, and communicated

Financial Management Processes

A. Revenue & Sales

- ✓ All sales supported by invoices (eTIMS compliant if in Kenya)
- ✓ Revenue reconciled to bank deposits
- ✓ Discounts properly authorized
- ✓ Receivables aging reports prepared
- ✓ Follow-up on overdue debts

B. Procurement & Expenses

- ✓ Documented procurement process
- ✓ Purchase orders raised and approved
- ✓ Supplier invoices matched to delivery notes
- ✓ Supplier due diligence performed
- ✓ Expenses supported with receipts

C. Cash & Bank Controls

- ✓ Monthly bank reconciliations performed
- ✓ Cash payments minimized
- ✓ Petty cash reconciled regularly
- ✓ Dual signatories required
- ✓ Online banking access restricted

D. Payroll

- ✓ Payroll records up to date
- ✓ PAYE, NSSF, SHA, Housing Levy filed on time
- ✓ Payroll changes authorized
- ✓ Reconciliation between payroll and bank payments

Tax Compliance (Kenya Context)

- ☒ VAT returns filed monthly (if above threshold)
- ☒ Income tax installments paid on time
- ☒ Withholding taxes deducted and remitted
- ☒ KRA iTax filings up to date
- ☒ Reconciliation between financial records and tax filings
- ☒ eTIMS invoices matching declared sales

Inventory & Asset Management



Inventory Management

- ☒ Stock management system in place
- ☒ Periodic stock counts conducted
- ☒ Reconciliation of physical stock to system records
- ☒ Slow-moving/expired goods monitored and actioned



Fixed Assets

- ☒ Fixed asset register maintained
- ☒ Depreciation calculated correctly
- ☒ Assets tagged, safeguarded, and periodically verified

Operational Processes & IT Controls

Operational Processes

- ☒ SOPs documented and accessible
- ☒ KPIs defined for each department
- ☒ Performance reviews conducted
- ☒ Process monitoring and reporting in place
- ☒ Operational risks identified and managed

IT & Systems Controls

- ☒ Accounting systems secured with strong passwords
- ☒ Role-based access control implemented
- ☒ Regular backups performed and tested
- ☒ Disaster recovery plan documented
- ☒ System logs reviewed

Risk Management, Compliance & Legal



Risk Management & Internal Controls

- ☒ Company-wide risk assessment conducted
- ☒ Fraud prevention policy in place
- ☒ Whistleblowing mechanism available
- ☒ Internal controls documented
- ☒ Control tests performed periodically



Compliance

- ☒ Statutory licenses valid and tracked
- ☒ Company filings (CR12, annual returns) up to date
- ☒ Compliance with sector regulations



Legal & Insurance

- ☒ Contracts properly documented and approved
- ☒ Insurance policies active and adequate

HR & Reporting



HR & Human Capital

☒ Employment contracts signed and filed

☒ Leave management system implemented

☒ Staff training documented

☒ Disciplinary procedures documented

☒ Succession planning for key roles



Reporting & Decision-Making

☒ Monthly management accounts prepared

☒ Financial ratios analyzed

☒ Budgets prepared and monitored

☒ Variances investigated with action plans

☒ Strategic decisions are data-driven

Audit Testing Procedures

1 

Inspect Documentation

Review policies, registers, reconciliations, and supporting documents for completeness and accuracy

2 

Observe Process Flow

Conduct walkthroughs of key processes to understand controls and identify gaps

3 

Interview Responsible Staff

Discuss roles, controls, and exceptions with personnel to verify understanding and compliance

4 

Recalculate Figures

Perform independent calculations to verify accuracy of computations and balances

5 

Perform Sample Testing

Select risk-based samples from populations to test for compliance and effectiveness

6 

Trace Transactions End-to-End

Follow transactions from source documents through to financial statements